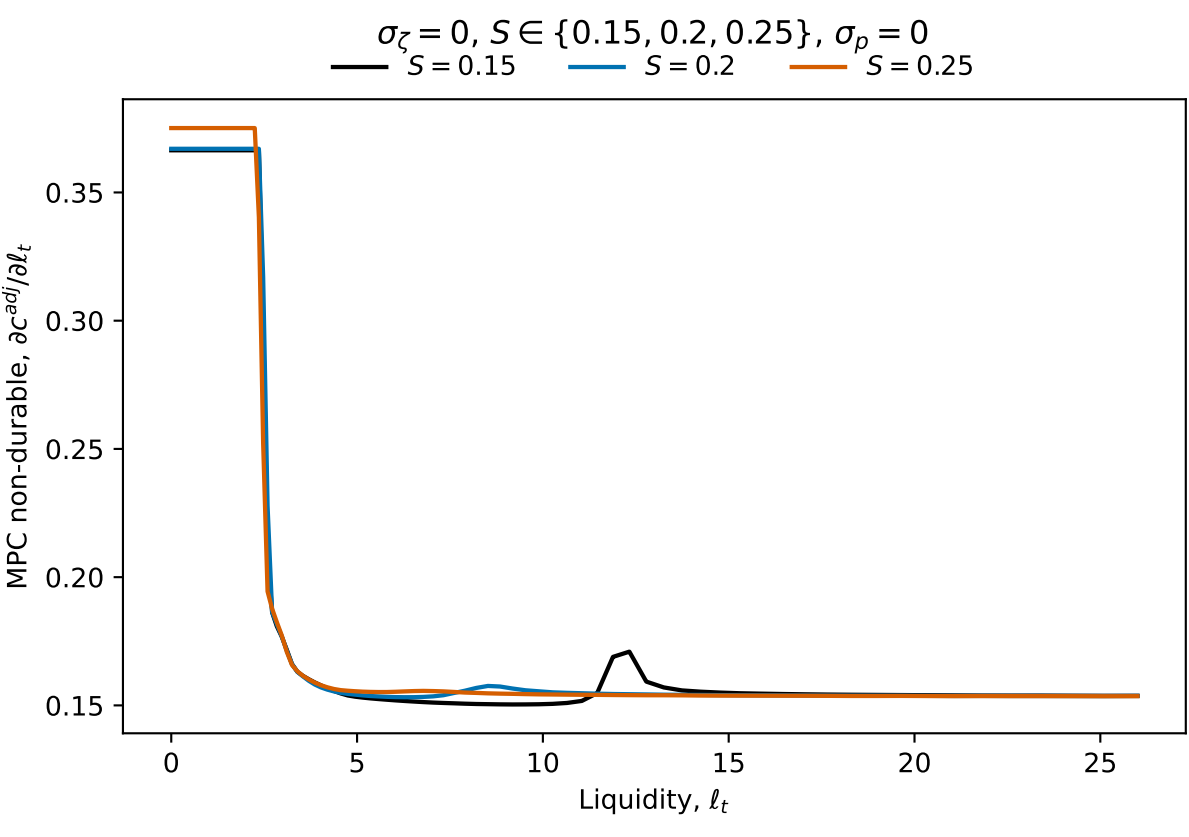
$\sigma_\zeta = 0$, $S \in \{0.15, 0.2, 0.25\}$, $\sigma_p = 0$
$S = 0.15$
$S = 0.2$
$S = 0.25$
MPC non-durable, $\partial c^{adj}/\partial \ell_t$
0.35
0.30
0.25
0.20
0.15
0
5
10
15
20
25
Liquidity, $\ell_t$